

 Masterclass Day 20

The Art of Portfolio Building

Synthesizing everything: Diversification, Asset Allocation, and Robust Risk Management.

The Free Lunch: Diversification

Nobel laureate Harry Markowitz called diversification "**the only free lunch in finance.**"

- » **Spreading Risk:** Instead of betting your entire capital on one stock or sector, you spread investments across uncorrelated assets.
- » **Lowering Volatility:** When tech stocks plunge, utilities or gold might rally, stabilizing your total portfolio value.
- » **The Trap of Over-Diversification:** Owning 100 different stocks just dilutes your returns (known as "diworsification"). Aim for 15-20 solid, quality stocks across sectors.



The Foundation:

Asset Allocation

Studies show that over 90% of a portfolio's long-term performance is determined by **Asset Allocation**—not individual stock picking.

Balancing Classes: Distributing your wealth across Equities (high growth), Debt/Bonds (stability & cash flow), Gold (inflation hedge), and Real Estate.

Age-Based Rule: A classic guideline is to keep your equity exposure equal to $(100 - \text{your age})$. Young investors can afford higher equity risks!



The Shield: **Risk Management**



Surviving the Worst-Case Scenario

In investing, surviving to play another day is more important than chasing home-run profits.

- » **Position Sizing:** Never risk more than 1-2% of your total trading capital on a single speculative trade.
- » **Emergency Fund:** Keep 6 months of living expenses in cash or liquid funds before touching the stock market.
- » **Rebalancing:** Periodically trim winners and buy losers to maintain your target asset allocation.

Great Job on Day 20!

Tomorrow: Day 21 - Introduction to Trading.

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